

Warsaw, July 10, 2024

Decision

DOKE.561.1.2024.

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (consolidated text: Journal of Laws of 2024, item 572) in connection with Article 7 sections 1 and 2, Article 60, Article 101, Article 101a section 2, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text) and based on Article 57 section 1 letters a) and h), Article 58 section 2 letter i), Article 83 sections 1-3, Article 83 section 4 letter a) in connection with Article 31 and Article 83 section 5 letter e) in connection with Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (Official Journal of the EU L 119 of 04.05.2016, p. 1, with amendments published in Official Journal of the EU L 127 of 23.05.2018, p. 2, and in Official Journal of the EU L 74 of 04.03.2021, p. 35, hereinafter referred to as the "Regulation 2016/679"), after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on Ms. A. Z. conducting business under the name B. with its registered office in W. at ul. (...), the President of the Personal Data Protection Office, having established a violation by Ms. A. Z. conducting business under the name B. with its registered office in W. at ul. (...) of the provisions of Article 31 and Article 58 section 1 letters a) and e) of Regulation 2016/679, consisting of

failure to cooperate with the President of the Personal Data Protection Office in the performance of his duties and failure to provide the President of the Personal Data Protection Office access to personal data and information necessary for the performance of his tasks, imposes on Ms. A. Z. conducting business under the name B. with its registered office in W. at ul. (...) an administrative monetary penalty in the amount of 21,827 PLN (in words: twenty-one thousand eight hundred twenty-seven zlotys).

JUSTIFICATION

Factual Background

On September 22, 2023, a complaint was submitted to the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO," "the authority") by Ms. C. D., residing in B. at ul. (...) (hereinafter referred to as the "Complainant") regarding irregularities in the process of personal data processing by Ms. A. Z. conducting business under the name B. with its registered office in W. at ul. (...) (hereinafter referred to as the "Entrepreneur"), consisting of processing the Complainant's personal data without a legal basis through monitoring, obtained from monitoring, and failing to fulfill the information obligation towards the Complainant resulting from Article 13 sections 1 and 2 of Regulation 2016/679.

In order to examine the complaint of Ms. C. D., the President of UODO initiated administrative proceedings under reference number (...).

During the course of the aforementioned proceedings – acting under Article 58 section 1 letters a) and e) of Regulation 2016/679 – the President of UODO, by letter dated October 18, 2023, summoned the Entrepreneur to respond to the content of the complaint and to provide explanations regarding the matter by answering the following questions:

1) How many cameras make up the monitoring installed at the location, i.e., in the premises where the Entrepreneur conducts business at ul. (...) and what are the technical parameters of these devices – including whether they only record images or also sound, whether they react to motion/sound, what their range is, and to what extent it can be modified. Please provide evidence – prints of images from each camera indicating its possible range (taking into account the range when changing the position of the device and with a detailed indication of which area constitutes part of the Entrepreneur's premises

where customers do not stay and in which area the Complainant stays/stayed), copies of documentation regarding the technical parameters and settings of the devices used for monitoring, parameters of the applications used to operate them, etc.

2) Does the Entrepreneur process (e.g., collects) personal data (e.g., image, voice) of the Complainant from recordings obtained from the monitoring (cameras) installed in the Entrepreneur's premises?

Please indicate:

a) to what extent the data is collected (e.g., image and sound),

b) for what purpose and on what legal basis the data is collected (e.g., for what the recordings were or will be used),

c) how long the recordings are stored.

3) In what way are the Complainant's personal data obtained from monitoring secured (against unauthorized access or use)?

4) Has the Entrepreneur fulfilled the information obligation towards the Complainant referred to in Article 13 of Regulation 2016/679, and if so, when, in what manner, and to what extent (e.g., whether, and if so when, the Entrepreneur placed an information board in a visible location and what information was included on it – please provide evidence to confirm your explanations, e.g., photographs of the aforementioned board). Please also address the allegations raised in the complaint in this regard. If the Entrepreneur did not fulfill the aforementioned obligations, then for what reason and on what legal basis.

****Call for Action****

The call was directed to the address of business activity disclosed in the Central Register and Information on Economic Activity "CEIDG", namely ul. (...), (...) W., and was received by an authorized person (according to the information on the return receipt) on October 23, 2023. Despite receiving the aforementioned letter, the Entrepreneur did not comply with the authority's request.

Due to the lack of response to the call dated October 18, 2023, in a letter dated November 15, 2023, the President of the UODO once again requested the Entrepreneur to respond to the content of the complaint and to answer the questions contained in the call dated October 18, 2023 (see point 2 of the justification). The call was received on November 21, 2023; however, as of the issuance of this decision, the letter remained unanswered.

The letters addressed to the Entrepreneur by the President of the UODO dated October 18, 2023, and November 15, 2023, contained a warning indicating that failure to provide explanations in the matter may constitute a violation of the obligation to cooperate with the authority, which may consequently result in the imposition of an administrative monetary penalty on the Entrepreneur in accordance with Article 83(5)(e) of Regulation 2016/679.

The above circumstances of the factual state were established by the President of the UODO based on the entirety of the official correspondence directed to the Entrepreneur, which is included in the case files with reference number (...). This correspondence fully and exhaustively documents all attempts made by the President of the UODO to gain access to personal data and information necessary to perform his duties – in this case, to consider the matter with reference number (...), and on the other hand, reflects the lack of response from the Entrepreneur to the requests of the President of the UODO in this administrative proceeding.

****Proceedings****

In connection with the failure of the Entrepreneur to provide the information necessary to resolve the matter with reference number (...), the President of the UODO initiated, ex officio – based on Article 83(4)(a) and Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding with reference number DOKE.561.1.2024 regarding the imposition of an administrative monetary penalty on the Entrepreneur for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The Entrepreneur was informed about the initiation of the proceedings by a letter dated January 19, 2024. The correspondence was delivered to the Entrepreneur on January 23, 2024. In this letter, the

Entrepreneur was summoned, in order to establish the basis for the calculation of the administrative monetary penalty based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text, hereinafter referred to as "u.o.d.o."), to present a copy of the PIT tax declaration or a statement of the financial result achieved in 2023.

The Entrepreneur was informed about the nature of the alleged violation; he was also advised of the sanctions that threaten for this violation, as well as the still existing possibility of providing explanations, which the President of the UODO had requested from him, which could have a mitigating effect on the amount of the administrative monetary penalty imposed in this case. Furthermore, the Entrepreneur was informed about the possibility to express his opinion – before the issuance of the administrative decision – regarding the collected evidence and materials as well as the submitted requests.

The Entrepreneur did not take any action in response to the information about the initiation of these proceedings. In order to determine the reason for the lack of response to the letter from the President of the UODO, an employee of the Department (...) contacted the publicly available number of the Entrepreneur's business activity by phone on April 18, 2024. The conversation with the Entrepreneur did not lead to the expected result of initiating cooperation with the supervisory authority and obtaining explanations in the scope required by the supervisory authority.

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57(1)(a) of Regulation 2016/679, the President of the UODO – as the supervisory authority within the meaning of Article 51 of Regulation 2016/679 – monitors and enforces the application of this regulation within its territory. Within the scope of its competencies, the President of the UODO considers, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant about the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679) and conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57(1)(h) of Regulation 2016/679).

To enable the realization of the tasks thus defined, the President of the UODO has a number of powers specified in Article 58(1) of Regulation 2016/679 regarding the conducted proceedings, including the power to order the controller and the processor to provide any information necessary to carry out its tasks (Article 58(1)(a) of Regulation 2016/679) and the power to obtain from the controller and the processor access to all personal data and information necessary to carry out its tasks (Article 58(1)(e) of Regulation 2016/679).

A violation of the provisions of Regulation 2016/679 consisting of the failure of the controller or processor to provide access to personal data and information resulting in a violation of the authority's rights...

defined in Article 58(1) of this legal act, is subject – in accordance with Article 83(5)(e) in fine of Regulation 2016/679 – to an administrative fine of up to 20,000,000 EUR, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount being applicable.

Additionally, both the controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as stipulated in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to – in accordance with Article 83(4)(a) of Regulation 2016/679 – an administrative fine of up to 10,000,000 EUR, and in the case of an enterprise – up to 2% of its total annual worldwide turnover from the previous financial year, with the higher amount being applicable.

According to Article 83(3) of Regulation 2016/679, in the event of a breach by the controller or

processor within the same or related processing operations of several provisions of this regulation, the total amount of the administrative fine may not exceed the amount of the fine for the most serious breach.

In assessing whether, and if so, to what extent an administrative fine should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for determining the fine) specified in Article 83(2) of Regulation 2016/679:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing in question, the number of data subjects affected, and the level of damage suffered by them,
- b) the intentional or negligent character of the infringement,
- c) actions taken by the controller or processor to mitigate the damage suffered by data subjects,
- d) the degree of responsibility of the controller or processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32,
- e) any relevant previous infringements by the controller or processor,
- f) the degree of cooperation with the supervisory authority to remedy the infringement and mitigate its possible adverse effects,
- g) the categories of personal data affected by the infringement,
- h) the manner in which the supervisory authority became aware of the infringement, in particular, whether and to what extent the controller or processor reported the infringement,
- i) if measures referred to in Article 58(2) have previously been applied to the controller or processor in the same matter, compliance with those measures,
- j) the application of approved codes of conduct pursuant to Article 40 or approved certification mechanisms pursuant to Article 42,
- k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits obtained directly or indirectly in connection with the infringement or avoided losses.

Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty assessment).

For the purpose of determining the basis for the administrative fine, the entity subject to the proceedings for the imposition of an administrative fine is obliged, at the request of the President of the Personal Data Protection Office (UODO), to provide, within 30 days of receiving the request, the data necessary to determine that basis (Article 101a(1) of the Personal Data Protection Act).

In the event that the entity subject to the penalty fails to provide this data, the President of the UODO establishes the basis for the administrative fine in an estimated manner, taking into account the size of the entity, the specificity of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Personal Data Protection Act).

The equivalent amounts expressed in euros referred to in Article 83 of Regulation 2016/679 are calculated in Polish zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date (Article 103 of the Personal Data Protection Act).

Pursuant to Article 60 of the Personal Data Protection Act, proceedings concerning violations of personal data protection regulations are conducted by the President of the UODO. Furthermore, Article 7(1) of the Personal Data Protection Act states that in matters not regulated by this act, the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (consolidated text: Journal of Laws of 2024, item 572), hereinafter referred to as "k.p.a.", apply to administrative proceedings before the President of the UODO (including proceedings concerning the imposition of administrative fines referred to in Chapter 11 of the Personal Data Protection Act). According to Article 7(2) of the Personal Data Protection Act, these proceedings are single-instance proceedings.

Legal Assessment

19. Relating the aforementioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Entrepreneur is the addressee... obligations referred to in Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative fine under Article 83(4)(a) and (5)(e) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations – within the proceedings conducted by the President of the Personal Data Protection Office (UODO) – on data controllers and processors.

From the content of the complaint by Ms. C. D., it follows that the Entrepreneur, by installing a video surveillance system in the office located in W. at ul. (...), is the data controller of the data obtained through this system, including Ms. C. D.'s data regarding, at least, her image. The installation and operation of the video surveillance system is a method of processing personal data, which may include activities such as: collecting, viewing, recording, storing, and using for purposes defined by the Entrepreneur, the images of individuals who are within the surveillance range. The above allows us to conclude that in the factual situation described by Ms. C. D., the Entrepreneur acts, in relation to the personal data obtained through the video surveillance system installed by him, as the controller defined in Article 4(7) of Regulation 2016/679. Consequently, the President of UODO is entitled – in accordance with Article 58(1)(a) of Regulation 2016/679 – to order him to provide information necessary to consider Ms. C. D.'s complaint, and the Entrepreneur – under Article 58(1)(e) of Regulation 2016/679 – is obliged to provide such information.

20. In the proceedings under reference number (...), in order to obtain information necessary to consider the complaint, the President of UODO twice requested the Entrepreneur to respond to the content of the complaint and to provide explanations in the form of answers to specific questions regarding the matter (see point 2 of the justification). The requests were received by a person authorized to receive correspondence (according to the information on the return receipt), which allows us to conclude that the Entrepreneur was made aware of the ongoing proceedings and the demands directed at him by the authority. Despite this, the authority did not receive a response from the Entrepreneur by the date of issuing this decision. Consequently, the President of UODO did not gain access to the information needed to fulfill his tasks – in this case, to examine the merits of the complainant's complaint.

21. This situation was not changed by the initiation by the President of UODO of proceedings regarding the imposition of an administrative fine on the Entrepreneur (under reference number DOKE.561.1.2024). The letter dated January 19, 2024, addressed to the Entrepreneur within this proceeding (see point 6 of the justification), despite being correctly received on January 23, 2024, remained unanswered. Additionally, a telephone conversation with the Entrepreneur did not yield the expected result in the form of cooperation with the supervisory authority. In the opinion of the President of UODO, this indicates a dismissive attitude of the Entrepreneur towards the authority and the ongoing proceedings.

22. The Entrepreneur's conduct of failing to provide the President of UODO with access to information necessary in the proceedings under reference number (...) simultaneously fulfills the characteristics of a violation of Article 31 of Regulation 2016/679. Cooperation with the supervisory authority in the performance of its tasks, which is the subject of the obligation defined in this provision, also includes the obligation to present to the President of UODO – at his request – all information held by the controller related to the ongoing proceedings and to grant – within its framework – access to all personal data and information necessary for this proceeding. The lack of access to the information that the President of UODO requested from the Entrepreneur is an obstacle to the objective, thorough, and comprehensive consideration of the case under reference number (...). In light of the above, it should be concluded that there are grounds for imposing an administrative fine on the Entrepreneur – under Article 83(4)(a) and Article 83(5)(e) in fine of Regulation 2016/679 – in connection with the lack of cooperation with the supervisory authority in the performance of its tasks (Article 31 of Regulation 2016/679) and in connection with the failure of the Entrepreneur to provide access to personal data

and information necessary for the President of UODO to fulfill his tasks, that is, to resolve the case under reference number (...).

23. The consequence of the lack of access to the information that the President of UODO requested from the Entrepreneur was also the unjustified prolongation of the duration of the proceedings initiated by the complainant's complaint, which in turn contradicted the fundamental principles governing administrative proceedings – defined in Article 12(1) of the Code of Administrative Procedure (k.p.a.) regarding the principles of thoroughness and speed of proceedings.

24. At the same time, due to the determination of the violation by the Entrepreneur of two provisions, namely Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, in accordance with the provisions of Article 83(3) of this legal act, the President of UODO established the amount of the imposed administrative fine at an amount not exceeding the fine for the most serious of these violations. In the presented factual situation, the President of UODO considered the most serious violation to be the failure of the Entrepreneur to provide the President of UODO with access to all personal data and information necessary to fulfill his tasks, that is, the violation of Article 58(1)(a) and (e) of Regulation 2016/679, punishable by a fine of up to 20,000,000 EUR, and in the case of an enterprise, up to 4% of its total annual turnover from the previous financial year, depending on which amount is higher. The seriousness of this violation is evidenced by the fact that the lack of access to personal data and information that the President of UODO requested from the Entrepreneur stands in the way of...

obstacle to an objective, thorough, and comprehensive examination of the case.

****Conditions and Principles for the Imposition of an Administrative Fine****

25. Pursuant to Article 83(2) of Regulation 2016/679, administrative fines are imposed depending on the circumstances of each individual case. In each case, attention is drawn to a number of factors listed in points a) to k) of the aforementioned provision (see point 14 of the justification). In deciding to impose an administrative fine on the Entrepreneur in this case and determining its amount, the President of the UODO took into account the following circumstances that negatively affect the assessment of the violation:

26. The nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679). The violation subject to the administrative fine in this case undermines the system aimed at protecting one of the fundamental rights of individuals, namely the right to the protection of personal data, or more broadly – the right to privacy. An essential element of this system, the framework of which is defined by the provisions of Regulation 2016/679, are the supervisory authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this area. To enable the fulfillment of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. On the other hand, administrators and data processors have been imposed, correlated with the powers of supervisory authorities, specific obligations, including the obligation to provide these authorities with access to personal data and information necessary for the performance of their tasks. The importance of violating these obligations has been emphasized by the EU legislator itself, who provided for a higher penalty for their violation under two provisions of Regulation 2016/679 – a fine of up to 20,000,000 EUR, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year. The actions of the Entrepreneur in this case, consisting of hindering and preventing access to the information and personal data requested by the President of the UODO, should be considered as undermining the entire system of personal data protection, and therefore of significant importance and reprehensible nature. The severity of the violation is further increased by the fact that the violation committed by the Entrepreneur was not a one-time and incidental event. The established omission of the Entrepreneur was continuous and prolonged, lasting from the expiration of the 7-day deadline for submitting explanations, set in the first request directed to the Entrepreneur in the proceedings with reference number (...), that is, from October 31, 2023. Thus, more than six months passed until the issuance of the administrative decision concluding this proceeding.

27. The intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679). In the opinion of the President of the UODO, there was a conscious and deliberate lack of willingness to cooperate on

the part of the Entrepreneur in ensuring the supervisory authority's access to all information necessary to resolve the case, which the President of the UODO had requested from him several times. The failure to respond to the correspondence directed to the Entrepreneur is assessed by the President of the UODO as a deliberate action that hindered or even made it impossible for him to assess the validity of the complaint filed by the Complainant. It is worth noting that the information about the initiation of these proceedings (letter from the President of the UODO dated January 19, 2024), in addition to information about the committed violation and the threat of an administrative fine for this violation, also indicated the still existing possibility of providing explanations, which the President of the UODO requested from the Entrepreneur in the proceedings with reference number (...). The Entrepreneur was therefore fully aware of the violation committed, as well as aware of how to end this state of violation (by providing the requested information to the President of the UODO). This state indicates a lack of willingness on the part of the Entrepreneur to cooperate with the authority or at least constitutes a gross disregard for his obligations related to this cooperation, and thus proves the Entrepreneur's awareness that his actions constitute a violation of the provisions of Regulation 2016/679. In light of the above, in the opinion of the President of the UODO, the violation committed by the Entrepreneur was intentional, and therefore this circumstance should be assessed negatively and considered as aggravating in the context of determining both the justification for imposing and the amount of the imposed fine.

28. The degree of cooperation with the supervisory authority to remedy the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679). During these proceedings regarding the imposition of an administrative fine on the Entrepreneur, the Entrepreneur did not engage in any cooperation with the President of the UODO. In particular, the Entrepreneur did not provide the information requested by the President of the UODO, which could have been treated as an action aimed at remedying the violation established in this case or mitigating its effects. Such lack of cooperation with the President of the UODO resulted in hindering and unjustifiably prolonging the proceedings conducted by the President of the UODO. The Entrepreneur's persistence in the state of violation (lack of willingness to restore a lawful state by fulfilling his procedural obligations in the proceedings before the President of the UODO) negatively affects – in the opinion of the President of the UODO – the assessment of the established violation.

29. In the opinion of the President of the UODO, none of the circumstances referred to in Article 83(2) of Regulation 2016/679 supports the mitigation of the determined – taking into account the aforementioned aggravating circumstances – amount of the fine imposed by this decision. administrative decision.

30. Other circumstances indicated below, referred to in Article 83(2) of Regulation 2016/679, after assessing their impact on the established violation in this case, were deemed neutral by the President of the UODO, meaning they had neither an aggravating nor a mitigating effect on the amount of the imposed administrative fine:

Any relevant prior violations by the controller (Article 83(2)(e) of Regulation 2016/679). The President of the UODO did not find that the Entrepreneur had previously committed any violations of data protection regulations, which means there are no grounds to consider this circumstance as aggravating. Since such a state (compliance with obligations arising from data protection regulations) is a natural condition in the legal environment in which the Entrepreneur operates, it cannot also have a mitigating effect on the assessment of the violation made by the President of the UODO.

The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679). The information regarding the violation established in this case was obtained by the President of the UODO ex officio by analyzing the course of the ongoing proceedings before him under case number (...). This is a natural way of acquiring information about such a violation, resulting from the President of the UODO's competence to assess the course of this proceeding and to determine what information is necessary for him to resolve the case at hand. Therefore, there are no grounds for a negative assessment of the fact that the information about the violation did not come from the Entrepreneur; however, this fact cannot also be taken into account in favor of the Entrepreneur since he did not participate in the acquisition of information about the violation by the President of the UODO.

Compliance with previously applied measures in the same case, referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679). Prior to issuing this decision, the President of the UODO did not apply any measures against the Entrepreneur in the case under consideration that are listed in Article 58(2) of Regulation 2016/679, which means that the Entrepreneur had no obligation to take any actions related to their application, and such actions, assessed by the President of the UODO, could have had an aggravating or mitigating effect on the assessment of the established violation.

The application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679). The Entrepreneur does not apply the instruments referred to in Articles 40 and 42 of Regulation 2016/679. However, their adoption, implementation, and application are not mandatory for controllers, as stipulated by the provisions of Regulation 2016/679, which means that the circumstance of their non-application cannot be considered against the Entrepreneur in this case. On the other hand, the circumstance of adopting and applying such instruments as means guaranteeing a higher than standard level of protection for processed personal data could be taken into account in favor of the Entrepreneur.

Financial benefits directly or indirectly achieved in connection with the violation or losses avoided (Article 83(2)(k) of Regulation 2016/679). The President of the UODO did not find that the Entrepreneur, in connection with the failure to provide the requested information, gained any financial benefits or avoided such losses. Therefore, there are no grounds to consider this circumstance as aggravating for the Entrepreneur. The establishment of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed very negatively. On the other hand, the absence of such benefits for the Entrepreneur, as a natural state independent of his will and actions, is a circumstance that, by its very nature, cannot be mitigating for him. This is confirmed by the wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "achieved" – that is, those that occurred on the part of the entity committing the violation.

Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679). The President of the UODO, comprehensively considering the case, did not note any other circumstances than those described above that could influence the assessment of the violation and the amount of the imposed administrative fine.

31. The remaining circumstances listed in Article 83(2) of Regulation 2016/679 could not be taken into account by the President of the UODO due to the nature of the violation (concerning the relationship between the controller and the supervisory authority, and not with the individuals whose data are concerned). These are:

the number of affected individuals and the extent of the damage suffered by them (Article 83(2)(a) of Regulation 2016/679) – due to the fact that the violation (the failure of the Entrepreneur to provide the President of the UODO with access to the necessary information) is not related to the violation of personal data of any individual, consequently, it cannot be stated that there were damages on the part of natural persons;

actions taken by the controller to minimize the damage suffered by the individuals whose data are concerned (Article 83(2)(c) of Regulation 2016/679) – due to the fact that it cannot be established that there were damages on the part of natural persons in this case, there is no obligation or possibility for the Entrepreneur to take any actions aimed at minimizing them;

the degree of responsibility of the controller taking into account technical measures.

i organizational measures implemented by them pursuant to Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679) – due to the fact that the violation in itself is not related to the technical and organizational measures implemented by the Entrepreneur to ensure the protection of personal data and the security of their processing;

categories of personal data affected by the violation (Article 83(2)(g) of Regulation 2016/679) – due to the fact that the violation consisting of failing to provide access to information necessary for the President of the UODO to perform his tasks is not associated with the violation of any personal data.

32. According to the wording of Article 83(1) of Regulation 2016/679, the administrative fine imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case.

In defining the aforementioned principles of imposing administrative fines, reference should be made to the views of the doctrine of data protection law. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportionate if it does not exceed the threshold of hardship determined by taking into account the circumstances of the specific case. A sanction is deterrent if it serves the purposes of individual and general prevention, in other words, it constitutes a clear signal of disapproval of the violation for society, as well as for the addressee of the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 [in:] P. Litwiński (ed.) General Regulation on Data Protection. Data Protection Act. Selected Sectoral Provisions. Commentary). The principles of imposing administrative fines as defined above require reference to the size, financial capabilities, and market position of the penalized entity, and as a measure of these attributes of the penalized entity, in the case of an enterprise, Regulation 2016/679 allows for the acceptance of the total annual global turnover from the previous financial year (Article 83(5) of Regulation 2016/679). Complementing this principle, Article 101a(2) of the Data Protection Act states that in the absence of such data, the President of the UODO determines the basis for calculating the administrative fine based on estimates regarding the size of the entity, the specificity of its activities, or generally available financial data concerning the entity. Reference to the economic potential of the penalized entity is necessary because, among other things, a penalty that is disproportionately low in relation to the financial capabilities of the perpetrator of the violation (a penalty that is practically "invisible" to that entity) will not be effective and deterrent for that entity; a penalty that is too burdensome (a penalty whose payment threatens the existence of the entity) will not be a proportional penalty.

33. In the opinion of the President of the UODO, the penalty imposed on the Entrepreneur in this proceeding corresponds to the principles indicated in Article 83(1) of Regulation 2016/679. Its financial severity will discipline the Entrepreneur to cooperate properly with the President of the UODO in proceedings conducted with his participation before the President of the UODO. In terms of disciplining the Entrepreneur, the penalty will therefore be effective (it will achieve its goal). The penalty imposed by this decision is also – in the opinion of the President of the UODO – proportional to the severity of the established violation and to the possibility of its bearing by the Entrepreneur without significant detriment to the business conducted by him. This penalty will also serve a deterrent function; it will be a clear signal for the Entrepreneur, obliged under the provisions of Regulation 2016/679 to cooperate with the President of the UODO, that neglecting obligations related to cooperation with him (in particular, obstructing access to personal data and information necessary for the performance of his tasks) constitutes a serious violation and as such will be subject to financial sanctions. Due to the failure of the Entrepreneur to provide the financial data requested by the President of the UODO for the year 2023, as well as the lack of generally available financial data concerning the Entrepreneur, in estimating the amount of the administrative fine in this case, the President of the UODO took into account, based on Article 101a(2) of the Data Protection Act, the specificity, scope, and scale of the activities conducted by the Entrepreneur. The Entrepreneur actively conducts business activities of a clinic nature (...). The permanent place of business of the Entrepreneur is located at ul. (...), (...) W. The Entrepreneur is registered in the CEiDG with the status of "active." The subject of the predominant activity is classified as PKD number (...), i.e. (...). The activity also has a registration book in the Register of Entities Performing Medical Activities with the number (...). In addition, it is listed in the VAT Register as an "active taxpayer." In the online space, a website for the Entrepreneur's business activity has been identified, as well as an active account on social media. The dates of the latest entries indicate the active functioning of the conducted business activity. All this information supports the recognition of the Entrepreneur's business activity as a profitable and well-functioning entity.

34. Given that the entity penalized in this case is conducting business on a small scale, the administrative fine imposed on it by this decision in a relatively small amount (constituting 0.03% of the maximum amount of the fine that, according to Article 83(5)(e) in fine of Regulation 2016/679, the President of the UODO could impose for the violation established in this case) will be a burdensome penalty for the Entrepreneur and thus... effective, but also possible to bear without jeopardizing the material foundations of its existence and the activities conducted by it.

35. In order to ensure a consistent approach to the imposition of administrative monetary penalties, the European Data Protection Board adopted Guidelines 4/2022 on May 24, 2023, regarding the calculation of administrative monetary penalties under Regulation 2016/679. The starting point for calculations is the consideration of three elements: the categorization of violations based on their nature in accordance with Article 83(4-6) of Regulation 2016/679, the severity of the violation, and the turnover of the enterprise, which is one of the essential elements to be taken into account for calculating the amount of the monetary penalty. The lack of information regarding the annual turnover of the enterprise in this proceeding limited the possibility of applying the methodology for calculating the monetary penalty using tables or percentage values specified in the guidelines. Therefore, the President of the Personal Data Protection Office, when determining the amount of the administrative monetary penalty in this case, took into account the general principles of penalty assessment described above.

36. Taking into account the provisions of Article 103 of the Personal Data Protection Act, the President of the Personal Data Protection Office imposed an administrative monetary penalty on the Entrepreneur for the violations described in the operative part of this administrative decision, applying the average exchange rate of the euro from January 29, 2023 (where 1 EUR = 4.3653 PLN) – in the amount of 21,827 PLN (in words: twenty-one thousand eight hundred twenty-seven zlotys, which is equivalent to 5,000 Euros – in words: five thousand euros). In light of the above, the President of the Personal Data Protection Office ruled as stated in the operative part of this decision.

Instruction

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (consolidated text: Journal of Laws of 2024, item 935), hereinafter referred to as "p.p.s.a.", the Party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw). A fee must be paid for the complaint in accordance with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781, consolidated text), hereinafter referred to as "u.o.d.o.", the filing of a complaint by the Party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty. In proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees. According to Article 105 § 1 of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiration of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office at NBP branch in Warsaw, account number 28 1010 1010 0028 8622 3100 0000. Furthermore, according to Article 105 § 2 of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponement of the payment deadline for the administrative monetary penalty or its installment payment, the President of the Personal Data Protection Office will charge interest on the unpaid amount at an annual rate, applying a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997 – Tax Ordinance (Journal of Laws of 2023, item 2383, consolidated text), from the day following the submission of the request.

Print article

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